Values-Based Realism and the Future of the International Order

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On January 20th, 2026, Prime Minister Mark Carney delivered a speech at the annual meeting of the World Economic Forum in Switzerland, in which he offered a profound warning: "We are in the midst of a rupture, not a transition."[1] He said, "the rules-based order is fading." He goes on to explain that the rules-based order was built on a fiction – that everyone would follow the rules. He claims that a series of crises over the last 20 years has exposed flaws in the rules-based order, namely that the economic integration that accompanied it gave great powers the ability to use it as a weapon. As a result, countries are shying away from international cooperation and transactionalism. "But let's be clear-eyed about where this leads," he warned, "a world of fortresses will be poorer, more fragile and less sustainable." He goes on to offer an alternative, "value-based realism." Instead of building higher walls, he encouraged countries to strengthen their domestic economies while diversifying in both trade and defence partnerships. He said, "the middle powers must act together, because if we're not at the table, we're on the menu." Therefore, raising the question, is the alternative that he is proposing possible, or in other words, to what extent can middle powers' collective integration mitigate the decline of the rules-based order? The goal of this essay is to answer this question and ultimately to demonstrate that while the idea of values-based realism is logical and likely the right move for these middle powers, many constraints limit how far such a strategy can go.

To understand this problem, it is first necessary to examine the theoretical foundations of the current order. From there, we will explore why the decline of the rules-based order has forced middle powers to find new strategies like values-based realism. Next, we will look at some recent cases that serve as examples of middle power integration achieved outside of traditional global institutions. Finally, we will consider the structural limits imposed by institutions

[1] Mark Carney, "Davos 2026: Special Address by Mark Carney, PM of Canada," World Economic Forum, January 20, 2026, https://www.weforum.org/stories/2026/01/davos-2026-special-address-by-mark-carney-prime-minister-of-canada/.

controlled largely by the United States, and how these limits make it difficult for middle powers to construct a fully independent system of global governance.

I - Theory: Post-War Hegemony and the Rules-Based Order

To get a sense of where middle powers find themselves currently, it's useful to look at the competing theoretical perspectives around the current order and how middle powers are situated in that context. The current order we find ourselves in – commonly referred to as the "rules-based order," "liberal international order," or "liberal institutionalism" – is defined by the presence of a single global hegemon, the United States. More broadly, the current order is characterized by free and open global trade networks and multilateral institutions which enforce a shared set of rules regarding trade, finance, and security, all of which is commonly referred to broadly as "globalism." At first glance, it seems like this order would be unstable if it relies on a single power. However, institutionalists posit that the order does not rely on continued US dominance, arguing that institutions can persist even as relative power shifts. Political Scientist G. John Ikenberry argues that the liberal order is resilient precisely because it's deeply institutionalized and rules-based. He predicts that states will continue to prefer the predictability and mutual benefit provided by the liberal international order, even if it is in a weakened state.[2]

Conversely, realist and economic nationalist perspectives challenge this notion that global institutions can survive without a hegemonic power to support them. Many of the largest global institutions, like the United Nations and the World Bank, are located in the US, leading some to believe that these institutions are simply American tools for global dominance rather than global cooperation.[3] In their book *Exit from Hegemony,* Alexander Cooley and Daniel Nexon describe

[2] G. John Ikenberry, "The End of Liberal International Order?," *International Affairs* 94, no. 1 (2018): 17, https://doi.org/10.1093/ia/iix241.

[3] Henry Farrell and Abraham Newman, *Underground Empire: How America Weaponized the World Economy* (Allen Lane, 2023).

how, after the fall of the Soviet Union, the US found itself with no rivals; it sat atop global wealth rankings, with the next 7 richest states being US allies. Many believed that the new Russian Federation and eventually China would liberalize and become important partners. At this time, some scholars questioned whether the fall of the USSR marked the end of history;[4] it seemed plausible that international liberalism would ring in a new era of peace, prosperity, and cooperation around the world. Unfortunately, that is not what happened; wars in Iraq and Afghanistan undermined global support for US hegemony and Russia and China did not cozy up to the US as expected.[5] Cooley and Nexon argue that many states are currently exiting US hegemony by bypassing US-led institutions in various ways, due to competition from Russia and China.[6] Moreover, similarly to Carney, they point out how US domestic politics, particularly Trumpism, are accelerating this decline, so while Russia and China are offering paths for states to exit from American hegemony, America is actively scaring off many long-held allies.[7]

A third perspective on the matter emphasizes the growing importance of middle powers to find more flexible forms of cooperation in an era of declining hegemonic leadership. Instead of relying on a single dominant state, many countries are shifting towards smaller coalitions of like-minded states. Some scholars have described this process as the rise of "minilateralism,"[8] arrangements that allow middle powers to cooperate in more limited but practical ways. Similarly, Professor Andrew F. Cooper's concept of "niche diplomacy" suggests that while

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[4] Francis Fukuyama, "The End of History?," *The National Interest*, no. 16 (1989): 3–18; Alexander Cooley and Daniel H. Nexon, *Exit from Hegemony: The Unraveling of the American Global Order* (Oxford University Press, 2020), 5.

[5] Cooley and Nexon, *Exit from Hegemony*, 2–4.

[6] Cooley and Nexon, *Exit from Hegemony*, 80–110.

[7] Cooley and Nexon, *Exit from Hegemony*, 159–85.

[8] Stewart Patrick, "The New 'New Multilateralism': Minilateral Cooperation, but at What Cost?," *Global Summitry* 1, no. 2 (2015): 115–34, https://doi.org/10.1093/global/guv008; Miles Kahler, "Multilateralism with Small and Large Numbers," *International Organization* 46, no. 3 (1992): 681–708, https://doi.org/10.1017/S0020818300027867.

middle powers cannot dominate the system, they can focus on specific policy areas where they possess expertise and shared interests.[9]

Together, these perspectives help situate the concept of values-based realism within the broader discussion about the future of the global order. The liberal approach suggests that cooperation among middle powers can preserve the rules-based order even without US hegemony, while realist and nationalist theories highlight the limits imposed by unequal influence over the institutions and networks which underpin the order itself. The idea that middle powers should construct new forms of governance is an attempt to reconcile these competing views, acknowledging both the benefits and persistence of cooperation and the constraints created by shifts in global power. Faced with the decline of US leadership, middle powers must decide whether to preserve the existing order or attempt to build new forms of cooperation.

II - Values-Based Realism: Why It Is Needed & How It Can Work (or Fail)

What has been made clear thus far is that the weakening of American hegemony and the fragmentation of the rules-based order have created a situation where middle powers face increasing uncertainty and, therefore, are in need of a new strategy. In the current environment, these countries cannot rely on the existing order, nor can they compete directly with great powers like the US and China. This dilemma has led to the emergence of values-based realism, a term largely unheard of before Carney offered it as a possible solution in Davos,[10] while giving credit to the President of Finland, Alexander Stubb, who coined the term and defines it as "a set of universal values based on freedom, human rights and international rules that take into account

[9] Andrew Fenton Cooper, ed., *Niche Diplomacy: Middle Powers after the Cold War*, Studies in Diplomacy (Macmillan ; St. Martin's Press, 1997).

[10] Carney, "Davos 2026."

the realities of global diversity, culture and history of the nation-states, regions and continents."[11] In contrast to liberal assumptions that the current order will hold and cooperation will expand, the values-based approach accepts that the international system is shifting and states must actively work to preserve the conditions that allow cooperation to exist.

The emergence of this strategy reflects the changing nature of the global order itself, specifically in the world of global economics and finance. As Henry Farrell and Abraham Newman argue, economic interdependence has created centralized networks in finance and trade, with many of these networks being under the influence of the US. They say that middle powers are left vulnerable because access to these centralized networks is essential for participation in the global economy, and, therefore, they can be used for political purposes through the use of tools such as sanctions.[12] Under these conditions, it becomes rational for states to seek diversification in trade and finance, not because they reject globalism, but because they seek protection from any coercive tactics that may be used as a result of overdependence, while maintaining the benefits of cooperation. "Minilateralism", discussed earlier, provides a useful framework for how cooperation independent of US-led networks can look. These arrangements are typically narrower in scope than the large institutions that define the current order, but they allow states to achieve their interests without being blocked by great power rivalry.[13] For middle powers, this type of cooperation allows them to preserve elements of the rules-based order, particularly in areas like trade, regulatory standards, and climate policy, where their shared

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[11] Alexander Stubb, *Speech by President of the Republic of Finland Alexander Stubb at the Annual Meeting of Heads of Mission in Helsinki on 27 August 2024*, August 27, 2024, https://www.presidentti.fi/en/speech-by-president-of-the-republic-of-finland-alexander-stubb-at-the-annual-meeting-of-heads-of-mission-in-helsinki-on-27-august-2024/.

[12] Henry Farrell and Abraham L. Newman, "Weaponized Interdependence: How Global Economic Networks Shape State Coercion," *International Security* 44, no. 1 (2019): 42–79, https://doi.org/10.1162/isec_a_00351.

[13] Farrell and Newman, "Weaponized Interdependence."

interests are strong but may lack global consensus. Furthermore, Cooper's concept of "niche diplomacy" supports this by suggesting that, through targeted cooperation, middle powers can create their own networks, which provide stability even in the absence of a hegemon.[14]

However, the success of the values-based realist approach is not certain. While middle power integration may reduce some vulnerabilities, fully eliminating dependence on US-controlled systems may prove to be impossible. The US still controls the world's reserve currency and commands the world's largest military. In addition, cooperation between middle powers can be limited by domestic political constraints as well as differing economic interests, which make it difficult to achieve the level of coordination needed to replace these institutions. Thus, values-based realism might be more effective as a strategy for adaptation rather than as a foundation for a new global order. The extent to which middle-powers can move beyond simple mitigation and towards construction remains an open question, one that can be better understood by examining how these efforts work in practice.

III - Case Studies: Middle Power Integration

If values-based realism is to be more than just a theory, it has to be reflected in the actual behaviour of middle power states. Recently, a number of these countries have sought to strengthen cooperation through bilateral and regional agreements as well as through regulatory coordination, often outside of traditional globalist institutions. These initiatives are not meant to replace the existing order, but rather to preserve stability and to create networks among like-minded nations. Examining these efforts helps demonstrate how middle power integration can work in practice.

[14] Cooper, *Niche Diplomacy*.

One of the clearest examples of an effort toward further cooperation among middle powers can be seen in the growing relationship between Canada and the European Union. In 2017, Canada and the EU signed the "Canada-EU Comprehensive Free Trade Agreement" (CETA). Under the agreement, 99% of Canadian goods can be sold in the EU duty-free, as opposed to approximately 25% before, and as a result, trade in goods increased by 72% from 2016 to 2024.[15] Political Scientists Annegret Bendiak and Felix Schenuit argue that the relationship between Canada and the EU has expanded significantly due to the similar challenges the two actors face in the current global environment. As a result, their cooperation reflects shared interests in maintaining free-trade networks and predictable rules through agreements that do not depend on the US.[16] These newfound partnerships are not, by any means, intended to construct a new global order; rather, they seek to reinforce elements of the current system by deepening ties between countries that see the writing on the wall but wish to hold on to their most beneficial allies, which are also committed to multilateral principles. Moreover, while CETA demonstrates how states can create deep regulatory frameworks outside of global institutions, the negotiations also highlight the possible limits of such efforts. Drs. Jorg Broschek and Patricia Goff have demonstrated that CETA was shaped not just by federal governments but also by sub-federal actors, like provinces and member states. This reveals one of the challenges middle powers may face when attempting further integration, that internal political divisions can act as significant constraints.

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[15] "CETA: What Does It Mean for Canadian Businesses?," BDC.Ca, December 9, 2020, https://www.bdc.ca/en/articles-tools/marketing-sales-export/export/ceta-what-does-canada-eu-trade-deal-mean-for-your-business.

[16] Annegret Bendiek and Felix Schenuit, "EU-Canada's Strategic Partnership: Broadening Relations and Mutual Interests," *Australian and New Zealand Journal of European Studies* 11, no. 3 (2021), https://doi.org/10.30722/anzjes.vol11.iss3.15106.

Furthermore, cooperation regarding energy and environmental policy between Canada and the EU further demonstrates the potential, and difficulty, of building alternative frameworks of governance. In 2025, Canada opened their first liquid natural gas (LNG) export facility[17] seeking to expand its energy exports globally, particularly in Europe, in response to instability caused by the ongoing conflict between Ukraine and Russia. However, at the same time, both Canada and the EU face internal pressures related to climate policy and their commitments to green energy. This demonstrates how middle powers can partner up to provide flexibility in a changing international environment, but also how domestic priorities can limit the extent of integration.[18]

Together, these examples suggest that middle powers are increasingly reliant on regional and minilateral agreements to maintain stability and promote flexibility in a system where global institutions are becoming less effective. Rather than trying to replace the rules-based order entirely, countries such as Canada, EU member states, and other advanced economies are strengthening cooperation through trade, regulatory coordination and issue-specific partnerships. These efforts reflect the logic of values-based realism, as they advocate for a commitment to shared principles but recognize that cooperation now has to occur within a more competitive and fragmented international environment. Conversely, the limitations visible in these cases suggest that middle power integration may be able to preserve some aspects of the rules-based order, but may struggle to create a fully independent system of global governance.

IV - The Limits of Integration

[17] Robert Froehlich and Acworth Robin, *Canadian LNG Industry: 2026 Outlook* (Norton Rose Fulbright, 2026), https://www.nortonrosefulbright.com/en-ca/knowledge/publications/10bef30f/canadian-lng-industry-2026-outlook.

[18] Petra Dolata, "Canada, the EU and Energy Security: A Historical Perspective," *Canadian Foreign Policy Journal* 28, no. 3 (2022): 216–33, https://doi.org/10.1080/11926422.2022.2125411.

While recent efforts toward integration outside of traditional global institutions show that elements of the rules-based order can be preserved without hegemonic leadership, these initiatives remain constrained by the structure of the global system. Even as countries pursue diversification and minilateralism, the world economy continues to be shaped by the US and, increasingly, China. Therefore, middle powers may reduce vulnerability in certain areas through integration, but they may fail when it comes to replacing some of the core functions performed by a hegemonic power.

Perhaps the most significant constraint comes from the structure of the global economic system. Farrell and Newman argue that the current international system is built around a highly centralized financial and technological infrastructure, much of which is controlled by American actors. The dominance of the US dollar, the role of American financial clearing systems, and the concentration of financial technology in a few countries mean that middle powers rely on access to institutions they do not control.[19] Even if actors like Canada and the EU integrate even deeper than they already have, they still need to operate within these networks, making complete independence from hegemonic influence unrealistic. While Chinese alternatives do exist, aligning with them would go against the values component of values-based realism. Additionally, security arrangements present similar constraints. Many middle powers rely on the US for defence and intelligence sharing, particularly through alliances such as NATO or Five Eyes.[20] As long as military and technological advantages remain in the hands of the US, middle power coalitions that rival it are unlikely to form.

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[19] Farrell and Newman, *Underground Empire*, 20–39.
[20] Cooley and Nexon, *Exit from Hegemony*, 159–85.

The current international environment is characterized by competing visions of global governance. In a paper released by Chatham House, the authors argue that the current period is not simply one of decline, but one of fragmentation, in which various groups of states pursue their own attempts at cooperation rather than coming together on a single global system. In this context, middle powers may succeed in attempts to preserve stability within limited networks, but they are unlikely to produce a comprehensive global order comparable to the current system of American hegemony. Instead, the result of values-based realist initiatives may be a more complex, decentralized system where multiple overlapping arrangements coexist.[21] In sum, these constraints suggest that values-based realism offers a pragmatic response to the decline of the rules-based order, but may fail in providing a comprehensive solution. Middle power integration can help manage uncertainty and uphold cooperation in specific areas, but for the time being, the structural dominance of the US defines the boundaries within which such strategies can operate.

V - Conclusion

In conclusion, the decline of the rules-based order has created an era of uncertainty. The stability once provided by American hegemony can no longer be taken for granted. As institutions become less effective in the face of great-power rivalry, middle powers face the challenge of preserving the benefits of economic integration while ending their reliance on a single dominant state to enforce the system. The idea of values-based realism is a reflection of the need to adapt to the incoming world order, however it may be structured. Rather than restoring the liberal order in its original form, middle powers have increasingly turned to

[21] Senem Aydın-Düzgit et al., *Competing Visions of International Order: Responses to US Power in a Fracturing World*, ed. Leslie Vinjamuri, with Royal Institute of International Affairs, Research Paper / Chatham House (The Royal Institute of International Affairs, 2025), https://doi.org/10.55317/9781784136383.

diversification, minilateral agreements, and partnerships with like-minded states as a way to maintain stability.

The cases examined in this essay demonstrate that this integration is already taking place. Agreements made between Canada and the EU show that middle powers can strengthen economic ties independent of any US-dominated institution. These efforts prove that middle powers can work together without hegemonic leadership and support the view that through networks of states with shared interests, the rules-based order can live on. In this light, values-based realism seems to provide a practical framework for adapting to a rapidly changing international environment. That being said, however, the limits of the strategy are clear. The global economy is dominated by US institutions.

This essay has demonstrated that while values-based realism is logical, constraints within the current system limit how far it can go. What is definitely true, though, is that the world is changing rapidly; it would be safe to bet that the decline of American hegemony is not over, and the conditions we see today can very easily change tomorrow. This opens up avenues to much further research on this topic. Just because the constraints of the current system make a comprehensive global order with a coalition of middle powers at the helm unlikely, it is not impossible and leads to many questions regarding how middle powers can get around these constraints, or what they should do if the decline of the system lifts some of these constraints.

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